

MERTON DAILY BRIEF - Wednesday, June 18, 2026

--

Headline of the Day

*The US-Iran peace deal changes everything: oil in freefall, Warsh tightens at the Fed, and global markets are rearranging.** WTI crashes to \$73.90 (-8.5% in 24h, -16% in a week), Brent at \$77.73, as the first tankers cross the Strait of Hormuz following the Trump-Pezeshkian interim agreement. Kevin Warsh, new Fed Chair, holds his first meeting: rates held steady but the cutting bias is removed, several members signal a possible hike in 2026. The 2Y Treasury jumps, S&P 500 gaps up to 7420 (+2.1%), gold corrects to \$4343, and BTC holds at \$63.8k. The IEA forecasts an oil surplus as early as 2027.

--

Global Sentiment

Indicator	Level	Change vs Yesterday	Signal
VIX	18.44	-1.00 (-5.1%)	? Calm
DXY	100.28	+0.77 (+0.77%)	? Strengthening
Gold	\$4,343	+\$15 (+0.3%)	? Consolidation
US 10Y	4.463%	+3.5bps	? Rising
US 30Y	4.926%	-0.2bps	? Stable
US 5Y	4.229%	+7.8bps	Rising
S&P 500	7,420.1	+153.1 (+2.1%)	? Rising
NASDAQ	26,021.7	-354.6 (-1.3%)	? Mixed
WTI	\$73.90	-\$6.85 (-8.5%)	Collapse
Brent	\$77.73	-\$3.02 (-3.7%)	Under pressure
? **BTC**	\$63,852	-\$2,002 (-3.0%)	? Correction
Copper	\$6.389	-\$0.139 (-2.1%)	Falling
Silver	\$69.20	-\$1.12 (-1.6%)	? Under pressure

* Read:** The market is experiencing a major regime change. The US-Iran peace deal triggered a paradoxical "relief risk-off" - oil collapses, US equities gap up, but yields rise as Warsh's Fed adopts a significantly more hawkish tone. The dollar strengthens despite equity gains - a classic "risk-on via disinflation" signal. Gold corrects slightly as geopolitical risk premium compresses, but remains elevated. BTC corrects (-3%) despite the risk-on environment, suggesting profit-taking. Copper falls (-2.1%) on war-related speculative positions being unwound.

--

Macro - What Moved

US

Warsh's Fed - first meeting, hawkish tone: Kevin Warsh held his first meeting as Fed Chair. Result: rates held (4.25-4.50% range), but the statement was drastically modified - the bias favoring rate cuts was **removed**. Several FOMC members signaled a rate hike in 2026 was possible. Warsh abstained from publishing his "dot" in the rate projections. The 2Y Treasury jumped immediately. The market now prices ~30% probability of a hike by December 2026.

Jeffrey Gundlach: "Warsh won't be the easy money chairman" - The famous bond investor warns that investors hoping for a dovish Warsh will be disappointed. Warsh is seen as a hawk on inflation, despite his proximity to Trump who "loves inflation."

IEA forecasts oil surplus in 2027 - The International Energy Agency predicts the US-Iran peace deal could lead to an oil supply surplus next year, with the full reopening of the Strait of Hormuz and the resumption of Iranian exports.

US inflation in May: 4.2% YoY, the highest in 3 years, driven by energy. PPI rose 1.1% in May, more than expected. The average cost per US household from the Iran war is estimated at \$450 additional for

gas and energy.

Job openings in April: 7.6 million, the highest in nearly 2 years. ADP private payrolls in May at 122K, stronger than expected.

Trump proposes new tariffs on 60 economies over forced labor practices - a protectionist escalation adding trade uncertainty.

CME CEO Terry Duffy to sue CFTC over perpetual futures - a major regulatory battle for derivatives markets.

Europe / ECB

ECB raised rates in June - first hike since 2023, motivated by the energy cost surge from the Iran war. Eurozone inflation hit 3.2% in May. The ECB signaled that Iran peace "is not enough to correct the energy shock" - a resolutely hawkish tone despite the recent oil decline.

UK inflation: steady at 2.8% in May, but the UK economy contracted 0.1% in April as the Iran conflict weighed on growth. GBP/USD at 1.3308 remains under pressure.

Europe tries to compete with China without launching a new trade war - discussions on subsidies and industrial competitiveness are intensifying.

Rheinmetall forecasts 45% sales growth in 2026, in a "prime position" to arm the US during the Iran war. The European defense sector is booming.

Sweden announces \$4 billion defense investment, Saab jumps 5%. NATO will spend hundreds of billions on defense.

China / Asia

China increases defense spending by 7%, the slowest pace since 2021 - a signal of moderation despite tensions with Taiwan.

Taiwan appeals to world media to resist Chinese pressure. The Taiwanese president seeks international support.

PBOC: new rate regime to improve liquidity and bonds, according to analysts.

90% of economists forecast BOJ rate hike by December - JPY at 160.60 remains under pressure, with government intervention deemed unlikely at this level.

Emerging Markets

Brazil: central bank cuts rates to 14.25% and approaches a pause in easing.

Citi scraps RBI hike calls as the US-Iran deal cools price risks. India is a major beneficiary of lower oil.

Indonesia and Philippines set to hike rates - caution prevails in Southeast Asian EMs.

Czechs mull first rate hike since 2022 to curb price pressures.

--

Geopolitics

Hot

US-Iran peace deal signed: Trump and Iranian President Pezeshkian signed a memorandum aimed at ending the war. The first Iranian tankers have left the US blockade for the first time in months. The deal provides for the release of frozen Iranian funds and sanctions relief. Trump signaled he could send deal details to Congress within 48 hours. However, Iranian mines remain a "long-term threat" in the Strait of Hormuz - it could take 6 to 10 weeks to return to normal.

Trump blows through Iran red lines: Trump justified the peace deal by abandoning several previously stated red lines, including on Iran's nuclear program and the \$300 billion fund for Iran.

Kevin Warsh takes office at the Fed amid maximum political tension. Trump named Bill Pulte (housing) as acting intelligence director, replacing Tulsi Gabbard.

Watch

Strait of Hormuz - mines and administration: Iran will define the administration of the strait with Oman and Gulf states, according to US officials. Shipowners watch the reopening with "wary disbelief." Transit flows could take months to normalize.

NATO - massive commitment: Rutte announces NATO will spend hundreds of billions on defense. Trump pledges 5,000 American troops to Poland, NATO's top spender.

G7 - Macron's last G7 at Versailles, with surprises. Modi and Starmer have a "hot mic" moment spurring India-UK trade deal chatter.

SpaceX adds Roelof Botha (Sequoia) to board - a maturation signal for the space company.

Positive

US-Iran peace deal: The end of the most disruptive war for energy markets in decades. Lower oil is a net stimulus for importing economies (Europe, Asia, India).

Citi scraps hawkish RBI calls: India, the world's 3rd largest economy by PPP, directly benefits from lower oil. Jio IPO (Mukesh Ambani) will be tested this week.

India-UK trade deal chatter: The Modi-Starmer hot mic moment revives trade discussions.

--

FX Focus

Pair	Level	Change	Signal
`EUR/USD`	1.1521	-0.37%	Under pressure
`GBP/USD`	1.3308	-0.92%	Under pressure
`USD/JPY`	160.60	+0.31%	? Strong USD
`USD/CHF`	0.799	+0.88%	? Strong USD

* Analysis:** The dollar strengthens across the board (DXY +0.77% at 100.28) on hawkish Fed + risk-on. EUR/USD under pressure (1.1521) despite the ECB hike - the hawkishness differential between Warsh's Fed and the ECB plays in the dollar's favor. GBP/USD at 1.3308 suffers from UK economic contraction (-0.1% in April) and fiscal tensions. USD/JPY at 160.60 remains in the potential intervention zone, but strategists deem intervention unlikely at this level. USD/CHF at 0.799 benefits from dollar strength, with the Swiss franc losing its safe-haven status as geopolitical tensions de-escalate.

* Pair to watch:** `USD/JPY` - If the 2Y Treasury continues to rise on the hawkish Warsh narrative, JPY could test 162-165. BOJ/MOF intervention at 165+ is probable. Conversely, if the market calms Fed hike expectations, JPY could rebound toward 158.

--

Commodities

Oil

WTI: \$73.90 (-8.5% in 24h, -16% in a week - from \$84.88 to \$73.90)

Brent: \$77.73 (-3.7% in 24h, -12% in a week)

The US-Iran peace deal triggered a massive selloff. The IEA forecasts an oil surplus in 2027. The first tankers are crossing the Strait of Hormuz. Dan Pickering (Pickering Energy) estimates 6 to 10 weeks to return to normal. Daan Struyven (Goldman) expects Middle East exports to normalize by end-July. The shift from "supply shock" to "potential surplus" is the dominant narrative.

Gold

Gold: \$4,343 (+0.3% - slight correction after the rally)

Gold corrects despite lower oil and risk-on. Options flows suggest weakness could continue short-term. However, fundamental support remains solid: central bank purchases, US inflation uncertainty (4.2% in May), and structural de-dollarization. Lower oil reduces short-term inflationary pressure, weighing on gold.

Silver & Copper

Silver: \$69.20 (-1.6%) - under pressure with copper

Copper: \$6.389 (-2.1%) - falling on war speculative positions

Rio Tinto resumes copper exports from the massive Mongolian mine - an additional supply signal.

Copper suffers from the combination "end of war = less speculative demand" + "supply recovery."

--

Today's Calendar - Wednesday, June 18, 2026

Time (CET)	Country	Event	Impact
08:30		UK Inflation (YoY, May)	High
10:00		ZEW Economic Sentiment (German	? Medium
14:30		EIA Crude Oil Inventories	High
16:00		Fed Chair Warsh Press Conferen	High

* Week Ahead:**

Day	Key Event
Thu 19	US Existing Home Sales, Philad
Fri 20	Flash PMIs US/EU/UK (June), Fe
Mon 23	US New Home Sales, Chicago Fed
Tue 24	US Consumer Confidence, Fed sp
Wed 25	US Durable Goods, GDP revised
Thu 26	US Core PCE (Fed's preferred g
Fri 27	US Personal Income/Spending

--

Deep Macro Theme

*The hawkish peace paradox: how the end of the Iran war strengthens the dollar and yields.**

We are living through a rare moment where the resolution of a geopolitical crisis does not produce the traditional "risk-on." Normally, the end of a conflict makes equities rise, the dollar fall, and yields drop. This time, the opposite is happening on the rates front: the 2Y Treasury jumps, the dollar strengthens, and equities rise - but for the wrong reasons.

The mechanism is as follows: lower oil (WTI -16% in a week) reduces short-term inflation, which should be dovish. But Kevin Warsh, new Fed Chair, sent a massive hawkish signal by removing the rate cut bias from the FOMC statement. The market interprets this as the beginning of a new regime: the Fed will no longer be the lender of last resort for markets. Warsh, known for his hawkish inflation views, seems intent on establishing his anti-inflation credibility from day one.

The result is a "bull steepener" on the front end (2Y rises) and a "bear flattener" on the long end (30Y stable). The message is clear: the market is pricing fewer cuts and potentially a hike in 2026.

What makes this moment particularly dangerous is that the market is positioned for a "soft landing" with rate cuts in Q4 2026. If Warsh maintains this hawkish tone, the repricing of short-term rates could trigger a correction in equities - particularly growth stocks that depend on low rates. The S&P at 7420 already prices in a lot of good news.

--

Consensus vs Reality - THE ALPHA

What the market is pricing:

- The Fed will hold rates through end-2026** - The market gives ~70% probability of status quo through December. Warsh's first meeting confirms this. **VERDICT: CORRECT** - with inflation at 4.2% and a tight labor market, there is no reason to cut.
- The US-Iran deal is durable** - The market is pricing near-definitive peace (WTI -16%, defense stocks

underperform the rally). **VERDICT: PREMATURE** - The deal is interim, Hormuz mines remain, and nuclear details are unresolved. Relapse risk is significant (15-20%).

3. **Inflation will recede thanks to lower oil** - The market anticipates that WTI falling from \$85 to \$74 will mechanically reduce inflation by 0.5-0.8% in 3-6 months. **VERDICT: PARTIALLY CORRECT** - Energy is only part of inflation. Core inflation (ex-energy) remains at 3.3% and wages continue to rise.

4. **The dollar will weaken with risk-on** - Some anticipate dollar weakness in a peace environment. **VERDICT: WRONG** - The dollar strengthens (DXY +0.77%) as the hawkish Fed + rate differential plays in its favor. "Risk-on via disinflation" is USD-bullish.

5. **Gold will resume its rally immediately** - Gold bugs anticipate the oil decline is temporary and gold will resume its rally. **VERDICT: UNCERTAIN** - Gold corrects as geopolitical premium compresses. But fundamental support (central banks, de-dollarization) remains solid. Gold could consolidate between \$4200-4400 before resuming.

6. **Long-term rates (30Y) will fall significantly** - The bond market anticipates a long-end rally with the end of the war. **VERDICT: WRONG** - The 30Y remains at 4.926%, supported by the massive US budget deficit and long-term inflation concerns.

The Alpha:

1. **Short EUR/USD toward 1.1350** - The hawkish Fed/ECB differential will continue to weigh on EUR. Stop at 1.1650. Catalyst: Warsh hawkish press conference + ECB eventually acknowledging lower oil reduces inflation pressure.

2. **Long USD/JPY toward 162-165** - As long as the 2Y Treasury rises on the hawkish Warsh narrative, JPY remains under pressure. Stop at 158.50. Risk: BOJ/MOF intervention.

3. **Short WTI via put options (\$70 strike)** - Oil supply will increase with the reopening of Hormuz and the resumption of Iranian exports. WTI could test \$68-70 short-term.

4. **Long defense stocks (Rheinmetall, Saab, Lockheed)** - The NATO defense boom is structural, not cyclical. Defense spending will increase for years.

5. **Short copper (\$6.389 ? target \$6.00)** - End of war reduces speculative demand + Rio Tinto resumes exports. Copper could correct further before finding support.

--

Merton's Take

We are at a major macro inflection point. The combination of "US-Iran peace + hawkish Warsh Fed" creates a market regime that few investors anticipated: a risk-on that strengthens the dollar and short-term yields.

My central scenario for the coming weeks: the S&P 500 will consolidate between 7200-7500, the dollar will continue to strengthen (DXY 101-103), and short-term yields will remain elevated (2Y > 4.5%). Gold will consolidate between \$4200-4400 before resuming its rally in Q3 when core inflation remains sticky and the Fed is forced to acknowledge it cannot cut.

The trade of the week is **long USD/JPY** toward 162-165. The US-Japan rate differential is massive (4.25% vs 0.5%), Warsh is hawkish, and the BOJ is trapped. JPY is the ideal funding currency for carry trades in this regime.

On oil, I am **short WTI** with a target of \$68-70. The US-Iran deal is a game-changer for supply. Hormuz mines are a risk, but the market underestimates them - the reopening will be gradual and Iranian supply will return progressively.

What I am watching closely: the **Warsh press conference at 16:00 CET**. If Warsh confirms the hawkish tone of the statement, the 2Y Treasury could rise toward 4.6% and the DXY toward 101+. If he is more measured, a relief rally on bonds and JPY is possible.

Positioning: Long USD, Short EUR, Short Oil, Short Copper, Long Defense. No gold for now - waiting for a better entry point around \$4250.

--

Sources Consulted

Yahoo Finance API (v8/finance/chart) - real-time prices for S&P 500, VIX, Gold, US 10Y/30Y/5Y, WTI, Brent, EUR/USD, GBP/USD, USD/JPY, USD/CHF, BTC, Copper, Silver, DXY, NASDAQ (14 assets)

Bloomberg RSS (markets, economics, politics) - 45+ headlines

FT RSS (home, markets) - 30+ headlines

CNBC RSS (top news, US news, economy, politics) - 60+ headlines

CNBC section pages (federal-reserve, oil, gold, economy, markets)

Polymarket API (gamma-api.polymarket.com) - prediction market data

Oilprice.com - energy headlines

Generated at 07:45 CET - Merton v2.0*